
VERITAS HOSPITALITY ADVISORS

*Fifteen frameworks for operating with clarity,
discipline and commercial purpose.*

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This playbook contains fifteen analytical frameworks and industry perspectives drawn from publicly available research by Horwath HTL, HVS ANAROCK and the Ministry of Tourism of India. It is prepared for the use of hotel owners and operators and does not constitute financial, legal or investment advice. Verify all figures against current sources before acting on them.

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Sources: Horwath HTL India Hotel Market Review 2025; HVS ANAROCK India Hospitality Industry Overview 2025; Ministry of Tourism beta dashboard (data.tourism.gov.in/dashboard); Ministry of Tourism parliamentary answer on Swadesh Darshan 2.0, February 2025; Professionalising Indian Family Firms, SAGE 2020.



PART ONE



India's hotel market is strong. That is not the same as your hotel being profitable.

India's 2025 hotel figures make for cheerful reading: Horwath HTL recorded 64% occupancy, an average daily rate of Rs. 8,624 and RevPAR of Rs. 5,522 in its tracked market. HVS ANAROCK puts nationwide occupancy in the 63-65% range. Neither report tells an individual owner what was left after commissions, payroll, utilities, debt service and necessary repairs.

That distinction matters most when a hotel is busy. Full rooms can delay a difficult conversation about rate discipline or operating costs; the team is occupied, revenue is moving, and the month feels successful. Then the owner's bank account tells a less satisfying story.

Begin with three reconciliations: rooms sold to net room revenue after distribution costs; department revenue to contribution after direct costs; and reported operating profit to actual cash available after agreed obligations. Compare the same periods and explain unusual events. Do not use the national RevPAR as a target for a small independent property: location, segment, accounting and sample coverage differ.

The useful question is not whether India had a good year. It is which part of that good year reached your property's bottom line.

“The useful question is not whether India had a good year. It is which part of that good year reached your property's bottom line.”

SOURCES

[H] Horwath HTL, *India Hotel Market Review 2025* — horwathhtl.com/publication/india-hotel-market-review-2025/ [V] HVS ANAROCK, *India Hospitality Industry Overview 2025* — hvs.com/article/10451-hvs-anarock-india-hospitality-industry-overview-2025

The 64,118-key question for independent hotels

HVS ANAROCK reports approximately 64,118 keys signed across 586 branded properties during 2025. These are signings, not 64,118 rooms already available to book: openings numbered roughly 14,199 rooms across 176 properties. An owner who treats pipeline as immediate competition risks reacting too early; an owner who ignores it entirely may react too late.

Build a competitor map with three dates: announcement, expected opening and actual opening. Add segment, likely guest, location, event capacity and visible price position. A new branded business hotel near an airport could matter more to your corporate accounts than a luxury resort in the same district.

Then identify what a chain cannot easily reproduce. It might be a local relationship, a quicker decision about group needs or genuinely consistent service. "We are independent" is not an advantage by itself. Independence has commercial value only when guests or buyers notice it.

Before spending on a renovation in response to a brand announcement, ask which customers are truly at risk and which investments would protect a reason to book.

"Independence has commercial value only when guests or buyers notice it."

SOURCES

[V] HVS ANAROCK, *India Hospitality Industry Overview 2025* —
hvs.com/article/10451-hvs-anarock-india-hospitality-industry-overview-2025

India's domestic travel boom is not a room-night forecast

The Ministry of Tourism's beta dashboard lists approximately 4,287 million domestic tourist visits in 2025, up 45.55% on 2024. A tourist visit is not a unique traveller, a hotel booking or a night in your district. A property budget built by applying that national growth rate to its own room nights would confuse three different measures.

HVS ANAROCK's May 2026 report estimated roughly 4,548 million visits for 2025, a different figure from the ministry dashboard. Different vintages or definitions may explain the gap; until reconciled, use the official dashboard with its beta caveat for a dated national reference, and do not quietly combine the two.

For a useful local forecast, start with actual demand: occupied room nights by day of week and source market; booking lead time; major dates; and how much new supply is coming online. Ask local organisers and corporate buyers what is changing.

National tourism growth tells you where to investigate. Your own booking book tells you what to staff and price for.

“National tourism growth tells you where to investigate. Your own booking book tells you what to staff and price for.”

SOURCES

[M] Ministry of Tourism beta dashboard — data.tourism.gov.in/dashboard (accessed 1 October 2026; beta, figures may change) [V] HVS ANAROCK, India Hospitality Industry Overview 2025

Pilgrimage demand calls for an operating plan, not only a higher tariff

Pilgrimage-led travel is a serious hotel-market theme. Horwath HTL names religious destinations among its 2025-26 opportunities; a February 2025 Ministry of Tourism answer lists Gaya, Nalanda, Dwarka and Prayagraj among destinations identified under Swadesh Darshan 2.0. Being on a development list is not a guarantee of completed infrastructure or room demand.

For an owner near a pilgrimage circuit, the questions are practical. Which arrival times are common? Do families need early check-in or secure luggage storage? Can the kitchen reliably serve the food guests expect? How will housekeeping handle compressed departures? These answers may matter more than a new campaign promising "spiritual experiences".

Separate ordinary weeks from festival peaks when setting rates and staffing. Record cancellations, group terms and the costs of temporary labour. Resist investing around a single extraordinary event without testing the baseline demand that remains afterwards.

The opportunity is not simply to charge more when a destination becomes busy. It is to be the property that works properly when every arrival happens at once.

“The opportunity is not simply to charge more when a destination becomes busy. It is to be the property that works properly when every arrival happens at once.”

SOURCES

[H] Horwath HTL, *India Hotel Market Review 2025* [S] Ministry of Tourism parliamentary answer on Swadesh Darshan 2.0, 3 February 2025

Five-star rates in the headlines, a different decision at your desk

Horwath HTL reports Rs. 8,624 average daily rate across its covered Indian hotel market in 2025, up 8.6% year on year. It also reports Mumbai occupancy of 77.1% among major markets, with Udaipur leading reported ADR at around Rs. 15,900. Those figures show how differently local markets behave. They are context, not a price list for an owner-operated hotel.

A useful rate decision starts with your own comparable dates. Look at booking pace, local events, segment and channel mix, cancellation exposure and the minimum contribution you need from a room. Review where you lost business at a high rate and where you sold out too early at a low one.

Do not raise every tariff by the national ADR growth rate. Nor should a weaker day automatically trigger a discount. If the guest mix changes, so can service costs and the value of keeping inventory available for a later booking.

Price is a decision about the next available room, not an annual headline pasted into a rate card.

“Price is a decision about the next available room, not an annual headline pasted into a rate card.”

SOURCES

[H] Horwath HTL, India Hotel Market Review 2025 — horwathhtl.com/publication/india-hotel-market-review-2025/

A booking channel can bring revenue and still disappoint the owner

An online travel agency can fill a room you might otherwise leave empty. It can also take a commission, encourage a discount or generate bookings with different cancellation behaviour. Neither "leave the OTAs" nor "fill every room" is a complete commercial strategy.

Take a representative period and compare channels on the same basis: realised room revenue after taxes treated consistently, discounts, commissions, payment costs, marketing spend attributable to direct bookings and cancellations. Then consider the incremental cost of serving each occupied room. Do not count an OTA booking as lost direct business unless there is evidence you could have captured that guest yourself.

Ask the reservations team where direct enquiries fail: no answer, confusing rates, difficult payment or weak follow-up. Sometimes the cheap improvement is a clearer booking process, not a costly campaign.

India's tracked hotel RevPAR increased in 2025, according to Horwath HTL. A rising market makes this channel calculation more — not less — important: higher headline revenue can conceal an expensive acquisition mix.

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SOURCES

[H] Horwath HTL, India Hotel Market Review 2025 — horwathhtl.com/publication/india-hotel-market-review-2025/

What a 144,000-room pipeline actually tells a hotel owner

Horwath HTL estimates India's branded hotel pipeline at roughly 144,000 rooms. Its report warns against assuming every planned room opens on schedule: although that pipeline could imply around 360,000 rooms of inventory by 2030 if delivered, it regards around 300,000 as more likely given delays.

That difference should change how an owner reads industry announcements. A signing may affect lender sentiment or recruitment long before it affects occupancy. A finished property on your road is a different matter. Track the probability and timing of each local project, not just the press-release count.

Make one page per credible competitor: proposed opening quarter, guest segments, meeting space, rate positioning and evidence that construction is progressing. Revisit quarterly. The point is not to obsess over every development. It is to give your sales and capital decisions a realistic clock.

Pipeline is a warning to investigate. It is not a reason to cut tonight's rate.

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SOURCES

[H] Horwath HTL, *India Hotel Market Review 2025* — horwathhtl.com/publication/india-hotel-market-review-2025/

The Indian wedding boom should be judged by contribution

HVS ANAROCK identifies weddings as a significant driver of seasonal demand in Indian hospitality. That matters to a hotel with banquet space, but a large event invoice can make a poor business decision look attractive.

Consider the complete event: venue rental, catering and room revenue, then food cost, temporary labour, utilities, commissions, decoration obligations, credit terms and any regular rooms displaced by the block. A Saturday wedding could be profitable and still be less profitable than the business it replaces. Conversely, a weekday event might support rooms that would otherwise sit empty.

Have sales and finance agree on an event contribution sheet before quoting. Record minimum guest counts, release dates for blocked rooms and deposit rules. After the event, compare actual consumption with the quotation; use the differences to improve the next proposal.

The question is not "How many weddings did we host?" It is "Which weddings earned enough for the space, rooms and attention they consumed?"

“A Saturday wedding could be profitable and still be less profitable than the business it replaces.”

SOURCES

[V] HVS ANAROCK, *India Hospitality Industry Overview 2025* —
hvs.com/article/10451-hvs-anarock-india-hospitality-industry-overview-2025

New tourism infrastructure does not arrive on your opening date

India's Swadesh Darshan 2.0 programme is designed to develop sustainable destinations. A February 2025 parliamentary reply said 58 destinations had been identified and 34 projects sanctioned at that point; identification, sanction and completion are different milestones. Those figures are a dated snapshot, not a live count for 2026.

If your property sits near a proposed attraction, map the actual guest journey. Is the road open? Is the attraction operating? Can visitors stay overnight or is it a day trip? Which months are suitable, and what nearby accommodation is opening?

A small test beats a large speculative commitment: partner with a local guide, build one itinerary, measure enquiries and the actual conversion to room nights. Only then consider rooms, vehicles or event space tailored to a forecast that has not yet arrived.

An announced destination is a reason to conduct fieldwork, not an occupancy guarantee.

“An announced destination is a reason to conduct fieldwork, not an occupancy guarantee.”

SOURCES

[S] Ministry of Tourism parliamentary answer on Swadesh Darshan 2.0, 3 February 2025 — tourism.gov.in/sites/default/files/2025-02/usq.148%20for%2003.02.2025.pdf

When inbound travel softens, know which guests you actually rely on

The Ministry of Tourism's beta dashboard reports 9.15 million foreign tourist arrivals for 2025, down 8.07% from 2024, while domestic tourist visits rose. HVS ANAROCK uses an estimated 9.02 million foreign arrivals in its May 2026 report. They are not interchangeable figures: source dates and estimation methods differ.

For an independent hotel, the operational question is whether inbound guests represent 2% or 60% of room nights — and in which months. Split your bookings into domestic leisure, business, groups and relevant inbound markets; note length of stay, lead time, cancellations and spend outside rooms.

If a source market weakens, do not automatically replace it with a broad domestic discount. The alternative guest may have a different booking window, room preference and service need. Test a specific replacement segment and monitor contribution.

National headlines are useful signals. Your own source-market ledger should drive the response.

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SOURCES

[M] Ministry of Tourism beta dashboard — data.tourism.gov.in/dashboard [V] HVS ANAROCK, India Hospitality Industry Overview 2025 — hvs.com/article/10451-hvs-anarock-india-hospitality-industry-overview-2025



PART TWO



The owner should never have to ask what happened to the cash

A hotel can send an owner three reports and answer none of the questions that matter. Occupancy is up; wages are up; the bank balance is down. Each number might be correct. Together they still require an explanation.

Start the monthly review with last month's owner-approved plan. What changed in rooms sold, average rate and net channel revenue? Which costs moved because volume changed, and which moved for another reason? What payments are due soon? Identify the person responsible for each corrective action and the date the owner will hear back.

A dashboard does not replace a conversation. If the GM and accountant use different revenue definitions, settle that first. If a capex bill is affecting cash but not the operating result, say so rather than blaming the team for "weak profit".

The best owner report is short enough to be read and precise enough to be challenged. Its purpose is to make a decision possible, not to make the month look tidy.

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SOURCES

Framework developed from operational practice. No external data sources cited.

The family hotel has two org charts

Every family hotel has a formal organisation chart. Many also have an informal one: who can promise a discount, who can approve a supplier, whose call overrides the GM's. The second chart is where apparently sensible plans can stop moving.

An outside adviser will not solve this by arriving with a dashboard. First ask the family which decisions belong to ownership, which the GM can make, and which require more than one family member. Put those answers into a short decision-rights sheet. Then tell the operating team the same thing.

This is not a case for stripping the family out of its business. Indian family-business research describes the tension around professionalisation and governance; it does not imply every family hotel has the same conflict. The practical aim is fewer surprises and less rework.

If a proposed change fails three times, ask whether the numbers were wrong — or whether the approval route was never agreed.

“If a proposed change fails three times, ask whether the numbers were wrong — or whether the approval route was never agreed.”

SOURCES

[P] Professionalising Indian Family Firms, SAGE 2020 — journals.sagepub.com/doi/full/10.1177/2631454119894754

An absentee owner needs exceptions, not another daily spreadsheet

Owners who are not on the property every morning face a peculiar problem: they can be copied on every operational message and still miss the one decision that matters. Information is plentiful; interpretation is scarce.

Set a regular review of a small number of agreed exceptions: unusual rate drops, unresolved guest-service incidents, large unbudgeted spending, late receivables and repeated variance against an agreed target. Each exception should have a responsible person, a proposed response and an escalation deadline. The owner should also know what is routine and does not require approval.

Ask the GM to challenge the exception list. If every issue goes to the owner, accountability has not improved; it has merely moved upstairs. If nothing does, the system may be hiding uncomfortable news.

Good oversight lets a remote owner step back without becoming the last person to find out.

“Information is plentiful; interpretation is scarce.”

SOURCES

Framework developed from operational practice. No external data sources cited.

Should an independent hotel take a brand? Start with the contract, not the flag

A brand can offer reach, systems and recognition. It also comes with fees, standards and obligations that change the owner's freedom to spend and decide. Neither remaining independent nor signing a flag is automatically the brave choice.

Build two comparable cases: independent and affiliated. Include one-time conversion costs, recurring fees, reservation costs, capex required to meet standards, any realistic revenue uplift, and the timing of cash flows. Stress-test the brand's forecast against slower growth, delayed renovations and the actual guests your property serves. Have qualified legal and financial advisers review the contract and tax implications.

This decision is becoming more salient as brands sign deeper into India's non-metro markets: HVS ANAROCK reports 64,118 branded keys signed during 2025, across 586 properties. Signings do not prove every independent should join them.

The useful question is not "Will the flag raise ADR?" It is "What return remains for this owner, under this agreement, after all commitments?"

"Will the flag raise ADR?" is the wrong question. Ask instead: what return remains for this owner, under this agreement, after all commitments?"

SOURCES

[V] HVS ANAROCK, *India Hospitality Industry Overview 2025* —
hvs.com/article/10451-hvs-anarock-india-hospitality-industry-overview-2025

Stop calling a full hotel a successful hotel

A sold-out night can be satisfying. It can also be a clue that you sold too cheaply, accepted an expensive channel mix or filled the property with guests who generate costs the rate does not cover. You need the context before declaring victory.

Look at three dates: a night that sold out early, one that filled late and one that stayed quiet. Compare realised rate, channel costs, cancellations, add-on spend and the operational burden. What did you know when rates were set? What would you do differently next time?

Horwath HTL reports 64% occupancy and Rs. 5,522 RevPAR across its tracked market for 2025. Those benchmarks are useful background, not proof a particular owner's 80% occupancy was good or bad; market mix and accounting differ.

A useful owner question follows each busy period: "What did this demand earn us — and what did we give up to capture it?"

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SOURCES

[H] Horwath HTL, India Hotel Market Review 2025 — horwathhtl.com/publication/india-hotel-market-review-2025/

ABOUT VERITAS

Veritas Hospitality Advisors

Veritas works with independent hotel owners and operators across India, providing advisory services focused on commercial strategy, governance and operational clarity. Our engagements begin with an AI Visibility Audit and extend into sustained advisory relationships.

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